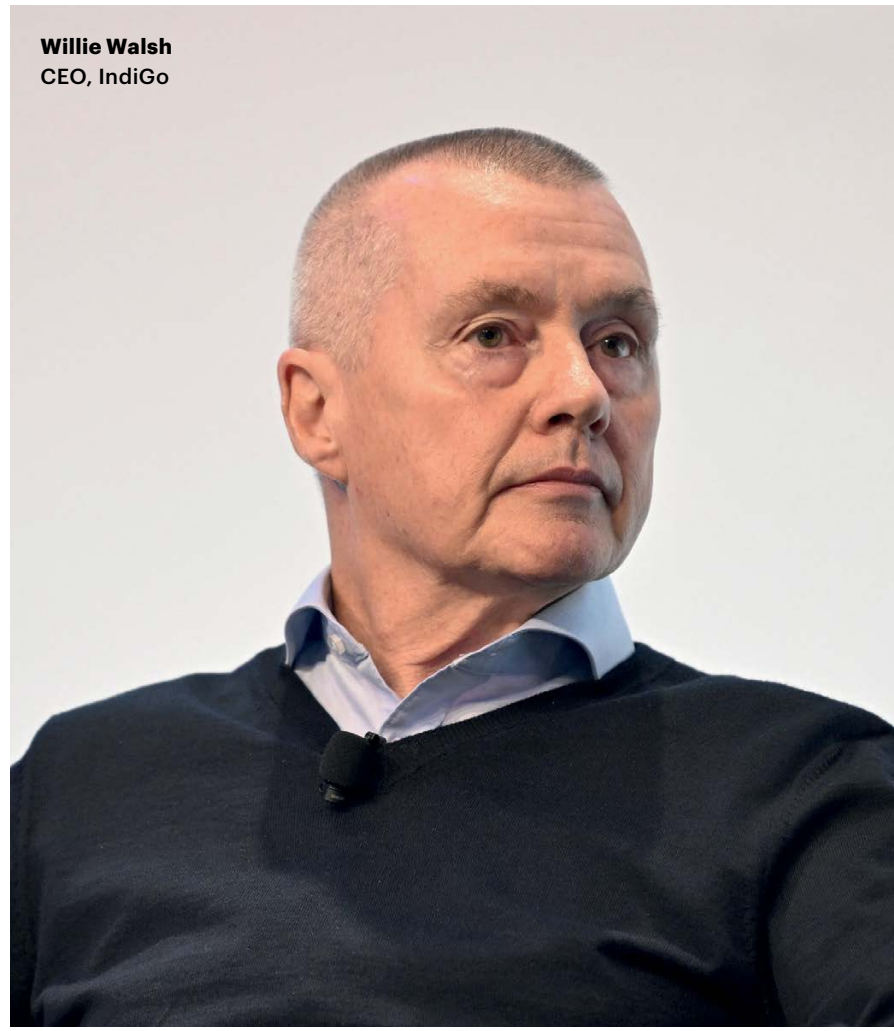


Willie Walsh
CEO, IndiGo

BATTLING TURBULENCE

With new CEOs at the helm, IndiGo and Air India face the challenge of balancing ambitious expansion plans with financial discipline as mounting losses put their turnaround strategies to the test

BY **RICHA SHARMA**

PHOTOS BY **GETTY IMAGES**

INDIA'S AVIATION BOOM is encountering turbulence. Soaring jet fuel prices, a weakening rupee and geopolitical disruptions are pushing up operating costs, squeezing margins and forcing airlines to raise fares as they struggle to sustain growth.

For new CEOs Willie Walsh at IndiGo and Tewolde Gebremariam at Air India, the task is cut out: Tap India's growing aviation market and keep expansion on track while containing costs, stemming losses and restoring profitability.

IndiGo, India's largest airline by market share, is proceeding cautiously after a third consecutive quarterly loss amid soaring jet fuel prices, geopolitical uncertainty and a weakening rupee.

On his first earnings call since becoming CEO in August, Walsh outlined his priorities: "To be disciplined about where and how we grow, with a clear focus on long-term value creation and to build our international footprint in a measured way while preserving the strengths of our low-cost model."

Known globally as "Slasher" Walsh for his cost-cutting strategies, Walsh said IndiGo's cost base was already efficient compared with rivals such as Air India. It would, therefore, trim expenses rather than make major cuts.

"Airlines across the world, including IndiGo, have responded through capacity and network adjustments and pricing actions, but cost pressures remain elevated. IndiGo has been able to recover only 60% of the cost by increasing fuel surcharge and ticket prices," he said, indicating that the airline would raise fares further to offset record-high jet fuel prices.

Walsh said IndiGo would minimise fare increases to protect its low-fare model. "But we have